

This is an attempt to build up India's manufacturing capabilities. With Covid-19, the world got very alert about China. A lot of companies that were overdependent on China were badly affected. There existed Chinese vendors who stopped selling components to several companies and told them to buy finished products. India has great potential to be a competitor of China. This is where the game of volumes can help us, and PLI for IT hardware will enable us to do the same. This is one of the best schemes to have surfaced during the entire history of India," feels Nitin Kunkolienker, President, MAIT.

It is worth mentioning here that top five brands including Dell, HP, Lenovo, Acer, and Asus accounted for over 85 percent share of the total personal computers (PCs) sold in India during the 2020-21 period, as per an IDC report. Similarly, the top five players including the likes of Dell Technologies, Lenovo, Super Micro, HP Enterprise, and Cisco had more than 60 percent share in the server market here during the fourth quarter of year 2020. On average, these five companies have been commanding over 60 percent presence in the market since the last five quarters.

Large scale electronics manufacturing

The PLI scheme for large scale electronics manufacturing targets segments like mobile phones and specified electronic components including SMT components, discrete semiconductor devices such as transistors, diodes, thyristors, etc, passive components including resistors, capacitors, etc for electronic applications, printed circuit boards (PCBs), PCB laminates, prepregs, photopolymer films, PCB printing inks, sensors, transducers, actuators, crystals for electronic applications, system in package (SIP), micro/nano electronic components such as micro electro-mechanical systems (MEMS) and nano electro-mechanical systems (NEMS), and assembly, testing, marking and packaging (ATMP) units.

The objective of this scheme, as per MeitY, is to provide a financial incentive to boost domestic manufacturing and attract large investments in

Electronics Related PLIs at a Glance

Table 1

PLI Scheme Sectors	Financial Outlay (₹ billion)	Financial Outlay (US\$ billion)	Estimated Investment (US\$ billion)	Tenure	Current Status
IT Hardware	73.25	0.7	NA	5 years. FY 2021-22 to FY 2024-25	Closed
Large Scale Electronics	409.51	5.6	1.5	5 Years. FY 2020-21 to FY 2024-25	Closed
Telecom and Networking Products	121.95	1.7	0.4	5 Years. FY 2020-21 to FY 2024-25	Open till 3rd July 2021
Solar PV Modules	45.00	0.6	2.4	5 years. Starts after commissioning of solar plants	Open till 30th June 2021
ACs and LEDs	62.38	0.9	1.1	5 Years. FY 2020-21 to FY 2024-25	Open till 15th September 2021
ACC Battery Storage	181.00	2.5	6.1	5 Years. Starts with commissioning of the manufacturing facility	Not open yet
Medical Devices	34.20	0.5	0.1	5 Years. FY 2020-21 to FY 2024-25	Closed

Eligibility Threshold Criteria

Table 2

Category	Proposed Incentive Rate	Incremental Investment after 31.03.2021	Net Incremental Sales of Manufactured Goods over Base Year
IT Hardware Companies (i) Laptops (Invoice value of 30,000 and above) (ii) Tablets (Invoice value of 15,000 and above) (iii) All-in-One PCs (iv) Servers	Year 1: 4% Year 2: 3% Year 3: 2% Year 4: 2% /1%	₹5 billion over 4 years Cumulative Minimum (₹ billion): Year 1: ₹0.5 billion Year 2: ₹1.5 billion Year 3: ₹3.0 billion Year 4: ₹5.0 billion	Year 1: ₹10 billion Year 2: ₹25 billion Year 3: ₹50 billion Year 4: ₹100 billion
Domestic Companies (i) Laptops (ii) Tablets (iii) All-in-One PCs (iv) Servers		₹200 million over 4 Years Cumulative Minimum (₹ million): Year 1: ₹40 million Year 2: ₹80 million Year 3: ₹120 million Year 4: ₹200 million	Year 1: ₹ 0.5 billion Year 2: ₹1.0 billion Year 3: ₹2.0 billion Year 4: ₹3.0 billion

*For eligibility, Net Incremental Sales of Manufactured Goods (covered under the target segment) irrespective of Invoice Value shall be considered.

Components Covered Under PLI Scheme

PCB Assembly - Assembled domestically by the applicant company itself.

Battery Packs - Assembled domestically, either by the applicant company itself or through one of its vendors. (Not applicable for all-in-one PCs and servers.)

Power Adaptors/SMPS - Assembled domestically, either by the applicant company itself or through one of its vendors.

Cabinets/Chassis/Enclosures - Assembled domestically, either by the applicant company itself or through one of its vendors.

Applicable Incentive

01.04.2022 onwards - 3 percent

01.04.2023 onwards - 2 percent

01.04.2024 onwards - 2 percent OR 01.04.2024 onwards (on all components) - 1 percent